

EXECUTIVE SUMMARY

Decoding Customer Value: A SQL-Driven Retention Strategy

Context

A D2C fashion brand with ~3,900 customers sought to determine whether it is building genuine customer loyalty or sustaining revenue through continuous promotional discounting. Analysis was conducted using Python (feature engineering), SQL (segmentation), and Power BI (dashboard).

Core Finding

The brand is not yet in a loyalty crisis, but it is at a critical inflection point. Two signals stand out:

- **No spend premium exists:** Loyal customers (high-frequency, high-tenure) average \$59.64 per order vs. \$59.79 for Standard customers. The brand captures volume from its best customers but not higher value.
- **Discounts are not being earned:** 46.1% of Loyal customers use promo codes or discounts, only 3.7 percentage points above the Standard segment (42.4%). Loyalty is being purchased, not built.

By subsidizing these specific transactions, the brand is experiencing unnecessary margin bleed on its highest-frequency buyers.

Key Findings

Area	Data Point	Implication
Loyalty vs Promo	46.1% of Loyal use discounts	Discount habit exists even in best segment
Spend parity	\$59.64 Loyal vs \$59.79 Standard	No financial reward for retaining loyal customers
Ideal customer	Age 37-52, Credit Card, Next Day Air	Premium buyer profile is identifiable and targetable
Top ICP spend	\$75.67 (Credit Card + 2-Day + Clothing)	Represents a ~26% spend premium over the standard baseline; clear monetization ceiling with the right acquisition targeting.
Organic Advocates	High tenure + rating >= 4.0 + no promos	Benchmark segment for promo-free retention strategy

Recommendations

- **Promotional Sunset (Months 1-6):** Stop discounting the ~299 Loyal + Promo-Dependent customers in three phases, starting with the highest tenure cohort (Previous Purchases > 40). Replace discounts with non-price incentives such as free express shipping or early access. Track repeat purchase rate without discount as the primary success metric at 30, 60, and 90 days.
- **Acquisition Targeting:** Focus paid acquisition on the Ideal Customer Profile: age 37-52, Clothing and Accessories categories, Credit Card payment, Express or Next Day Air shipping. Do not lead with promo codes in acquisition campaigns for this segment, as the data shows they buy without them.
- **Retain Organic Advocates:** Use Definition C customers (high tenure, high rating, no promo dependency) as a benchmark. Build retention programs that replicate their behavior pattern rather than discount-driven repeat purchases.

Key Risk to Monitor

A subset of Loyal-Promo Dependent customers may be more discount habituated than their tenure implies. If the Phase 1 cohort shows repeat purchase rate below 60% after promo removal, pause the rollout and investigate before proceeding to Phase 2.